

VELUSE AGENCY STANDARD OPERATING PROCEDURE (SOP) DEPARTMENT:

Operations & Customer Success
SUBJECT: Continuity & Retention
PURPOSE: To establish Veluse Agency's operational protocols for maximizing client lifetime value (LTV), drastically reducing churn, and engineering our Med Spa AI infrastructure into a highly sticky, appreciating asset.

PART 1: LOGO RETENTION VS. REVENUE RETENTION

To build an enterprise-value agency, we must fundamentally shift our tracking from "Logo Retention" to "Revenue Retention."

Logo Retention measures the raw number of individual clients (logos) that stay with the business over a specific time period 1. For example, if we start the year with 100 Med Spa clients and end the year with 50 of those original clients, our logo retention is 50% 1.

Revenue Retention measures the financial value of a specific cohort of customers over time 1-3. If those original 100 clients paid us \$100 a month initially (\$10,000 total), and a year later, the remaining 50 clients have been successfully upsold and now pay us a collective \$15,000 a month, our revenue retention is 150% 3.

Veluse Directive: We do not panic over natural logo churn from low-tier or problematic clients. Our ultimate goal is 100% or greater *revenue retention* 2, 3. If we lose logos but aggressively upsell our best, most successful Med Spas so they spend twice as much, the business will sustainably scale and compound year over year 1-4.

PART 2: PRICING ONE-TIME VALUE VS. CONSUMABLE VALUE

The primary reason clients churn from high-ticket retainers is a failure to properly separate and price "One-Time Value" versus "Consumable Value" 5-8.

- **One-Time Value:** This is transformational education or initial infrastructure setup (e.g., building the Med Spa's AI CRM or teaching them the sales framework) 6, 7, 9. Once the client has this asset, its ongoing value to them drops to zero because they already possess it 6.
- **Consumable (Recurring) Value:** These are the elements the client uses month after month (e.g., daily software hosting, ad maintenance, ongoing community support) 7, 10, 11.

The Rule (Big Head, Long Tail): We must never take the high cost of one-time transformational value and spread it out over a monthly recurring payment 8, 12-14. If we charge \$2,500/month for a year to cover a \$30,000 infrastructure build, the client will inevitably cancel in month four because the ongoing *consumable* support they receive does not feel worth \$2,500/month 13-16.

Instead, we charge a massive one-time upfront fee (The Big Head) for the transformational setup, followed by a much smaller, appropriately priced monthly recurring fee (The Long Tail) for the consumable software and support 14, 15, 17-19. This perfectly aligns the price-to-value discrepancy, ensuring they never want to leave the recurring tier 15, 20.

PART 3: THE 6 THEMATIC TACTICS TO IMPROVE "STICK"

To systematically improve client activation, retention ("stick"), and referrals, we apply six thematic tactics directly mapped to the elements of the Value Equation 4, 21.

1. **Sell Better Customers (Call Outs):** The easiest way to improve stickiness is to stop selling to highly volatile, unqualified clients 21-23. We increase product quality by

exclusively targeting and selling to top-tier Med Spas that have the capital and infrastructure to properly utilize our AI systems 21, 24.

2. **Set Better Expectations (Dream Outcome):** The fastest way to make our service remarkable is to make it better than the client expects 25. We deliberately lower our promises during the sales process just enough to maximize close rates, so we can overwhelmingly over-deliver on the backend and build massive goodwill 25, 26.
3. **Get More People Better Results (Increase Likelihood of Achievement):** We identify the specific actions our most successful Med Spa clients take (e.g., importing all past contacts into the CRM within 24 hours), and we systematically force new clients to repeat those exact actions during onboarding 26, 27.
4. **Get Faster Results (Decrease Time Delay):** We break the ultimate outcome into micro-milestones 28. We must communicate progress constantly and ensure the Med Spa experiences a tangible "quick win" (like a booked appointment) within the first few days of service 28.
5. **Keep Making Your Stuff Better (Decrease Effort & Sacrifice):** We continuously survey clients to find out what requires the most effort on their part, and we remove that friction 28, 29. A product that takes less effort generates more goodwill 28.
6. **Tell Them What To Buy Next (Call to Action):** If a client gets a great result, they want to buy more 29, 30. If we do not immediately offer them the next logical upsell, they will simply buy it from a competitor 29, 30. Keep selling to them to extend their lifetime value and engagement 30.

PART 4: THE ZERO COST UPSELL STRATEGY

Most businesses are blind to the fact that their existing customer base is a goldmine of unharvested profit. We deploy the "Zero Cost Upsell" to instantly inject cash flow into the agency 31, 32.

The Strategy: When a client enters our ecosystem, we pay a substantial Customer Acquisition Cost (CAC) to get them 32, 33. However, once they are an active client, they will inevitably need supplementary solutions to solve their next set of problems 31, 34. Because we have already paid the marketing and sales cost to acquire this client, any additional product or service we sell them incurs a CAC of exactly zero 31, 32.

Execution: After successfully integrating our AI bot, the Med Spa will naturally need other things—such as trained staff to handle the influx of leads, or specialized ad creatives 31, 34. We will run internal promotions to our existing client base offering these exact solutions 32. Because the CAC is zero, these internal upsells operate at near 100% gross profit margins, consisting only of the direct cost of fulfillment 32, 35.